

Financial Integrity

by Sophia

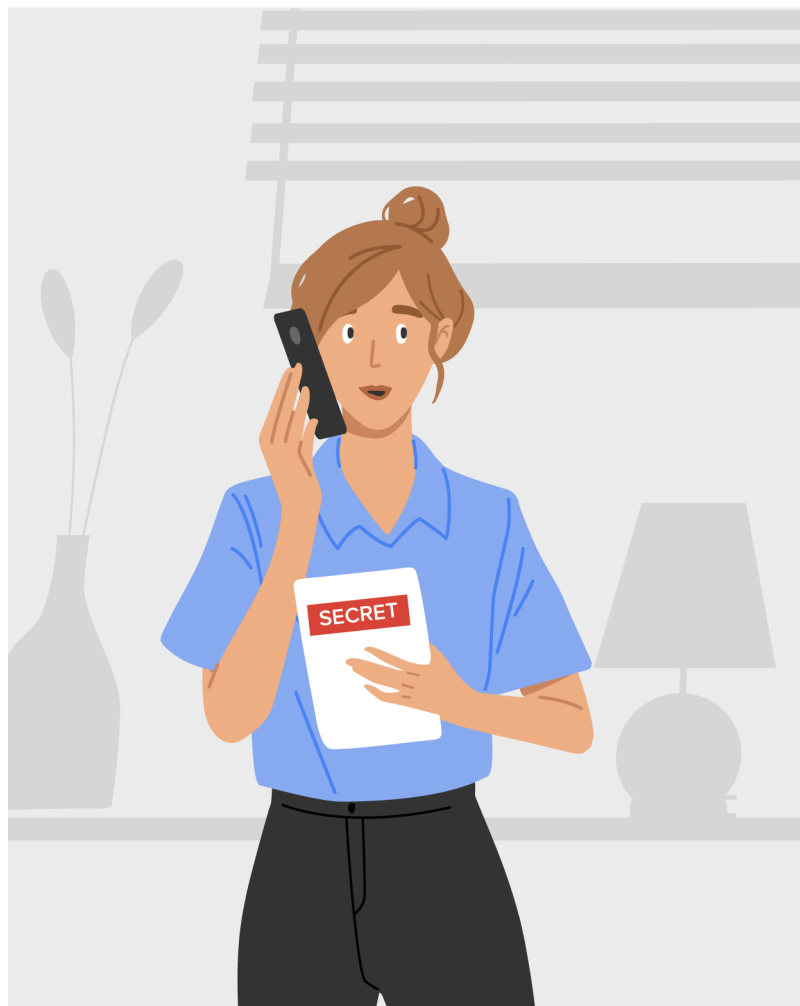


WHAT'S COVERED

In this lesson, you will learn about the added ethical responsibilities related to finance. Specifically, this lesson will cover:

1. Insider Trading

Employees may face ethical dilemmas in the area of finance, especially in situations such as bribery and insider trading in securities. Such dubious “profit opportunities” can offer the chance of realizing thousands or even millions of dollars, creating serious temptation for an employee. However, insider trading and bribery are serious violations of the law that can result in incarceration and large fines.



Insider trading is buying or selling of stocks, bonds, or other investments based on nonpublic information that is likely to affect the price of the security being traded. For example, someone who is privy to information that a company is about to be taken over, which will cause its stock price to rise when the information becomes public, may buy the stock before it goes up in order to sell it later for an enhanced profit. Likewise, someone with inside information about a coming drop in share price may sell all his or her holdings at the current price before the information is announced, avoiding the loss other shareholders will suffer when the price falls. Although insider trading can be difficult to prove, it is essentially cheating. It is illegal, unethical, and unfair, and it often injures other investors, as well as undermining public confidence in the stock market.

Insider trading laws are somewhat complex. They have developed through federal court interpretations of Section 10(b)5 of the Securities Exchange Act of 1934, as well as through actions by the U.S. Securities and Exchange Commission (SEC). The laws identify several kinds of violations. These include trading by an insider (generally someone who performs work for the company) who possesses significant confidential information relevant to the valuation of the company's stock, and trading by someone outside of the company who is given this sort of information by an insider or who obtains it inappropriately. Even being the messenger (the one communicating material nonpublic information to others on behalf of someone else) can be a legal violation.



Although many companies encourage employees to purchase shares or include them in compensation, many will have windows of time where any buying or selling of company stock is forbidden, due to impending news that may be known within the company but not public.

The concept of an “insider” is broad and includes officers, directors, and employees of a company issuing stocks or bonds. A person can even constitute what is called a “temporary insider” if they temporarily assume a unique confidential relationship with a firm and acquire confidential information centered on the firm's financial and operational affairs. Temporary insiders can be investment bankers, brokers, attorneys, accountants, or other professionals typically thought of as outsiders, such as newspaper and television reporters.

A famous case of insider trading, *Securities and Exchange Commission v. Texas Gulf Sulphur Co.*(1968), began with the discovery of the Kidd Mine in Ontario and implicated the employees of a Texas mining company. When first notified of the discovery of a large and very valuable copper deposit, mine employees bought stock in the company while keeping the information secret. When the information was released to the public, the price of the stock went up and the employees sold their stock, making a significant amount of money. The SEC and the Department of Justice prosecuted the employees for insider trading and won a conviction; the employees had to give back all the money they had made on their trades.

But simply trying to avoid a financial loss can also be unethical and illegal. In 2017, from mid-May to July, hackers gained unauthorized access to servers used by Equifax, a major credit reporting agency, and accessed the personal information of nearly one-half the U.S. population. Equifax executives sold off nearly \$2 million in company stock they owned after finding out about the hack in late July, weeks before it was publicly announced on September 7, 2017, in violation of insider trading rules. Equifax executives knew about the breach and sold shares prior to the dip using this information that was not yet public. As expected, the company's shares fell nearly 14% after the announcement. To make amends to customers and clients in the aftermath of the hack, the company offered free credit monitoring and identity theft protection. On September 15, 2017, the company's chief information officer and chief of security retired. On September 26, 2017, the CEO resigned, days before he was to testify before Congress about the breach. To date, numerous government investigations and hundreds of private lawsuits have been filed as a result of the hack. A few former executives were later sentenced to federal prison for violating insider trading rules.



THINK ABOUT IT

Imagine a longtime staff person in a low-level position is relying on the stock they have accrued to fund their retirement. They discover by accident that due to the failure of a new product, the earnings report about to be released will cause the stock to plunge. The staff person considers selling off all of his stock and reinvesting it elsewhere. Is this practice ethical? Why or why not?



TERM TO KNOW

Insider Trading

The illegal practice of trading stock with knowledge that is not yet public.

2. Bribery



Another temptation that may present itself to employees is the offer of a bribe. **A bribe** is a payment in some material form (cash or noncash) for an act that runs counter to the legal or ethical culture of the work environment. Bribery constitutes a violation of the law in all fifty U.S. states, as well as of a federal law that prohibits bribery in international transactions, the Foreign Corrupt Practices Act. Bribery generally injures not only individuals but also competitors, the government, and the free-market system as a whole. Of course, often the bribe is somewhat less obvious than an envelope full of money. It is important, therefore, to understand what constitutes a bribe.

Numerous factors help establish the ethics (and legality) of gift giving and receiving: the value of the gift, its purpose, the circumstances under which it is given, the position of the person receiving it, company policy, and the law. Assuming an employee has decision-making authority, the company wants and has the right to expect him or her to make choices in its best interest, not the employee's own self-interest. For example, assume an employee has the authority to buy a copy machine for the company. The employer wants to get the best copy machine for the best price, taking into account quality, service, warranties, and other factors.

But what if the employee accepts a valuable gift card from a vendor who sells a copy machine with higher operating and maintenance charges, and then places the order with that vendor? This is clearly not in the best interests of the employer. It constitutes a failure on the part of the employee to follow ethical and legal rules, and in all likelihood, company policy as well. If a company wants its employees to always do the right thing, it must have policies and procedures that ensure the employees know what the rules are and the consequences for breaking them.

A gift may be only a well-intentioned token of appreciation, but the potential for violating company rules (and the law) is still present. A well-written and effectively communicated gift policy provides guidance to company employees about what is and is not appropriate to accept from a customer or vendor and when. This policy should clearly state whether employees are allowed to accept gifts on or outside the work premises and who may give or accept them. If gifts are allowed, the gift policy should define the acceptable value and type, and the circumstances under which an employee may accept a gift.



THINK ABOUT IT

You are tasked with purchasing a large number of new computers for the office. When talking to the salesperson, he suggests that he will “throw in” a high-end laptop for your personal use. In truth, you had already decided to go with this company, so the freebie is not influencing your decision. What do you do? When in doubt about whether the size or value of a gift renders it impossible for an employee to accept it, workers should check with the appropriate officer or department within their company. Be it an “ethics hotline” or simply the human resources department, wise firms provide an easy protocol for employees to follow in determining what falls within and without the protocols for accepting gifts.

➔ **EXAMPLE** A federal employee may not give or solicit a contribution for a gift to an official superior and may not accept a gift from an employee receiving less pay if that employee is a subordinate. On annual occasions when gifts are traditionally given, such as birthdays and holidays, an employee may give a superior a gift valued at less than \$10. An employee may not solicit or accept a gift given because of his or her official position, or from a prohibited source, including anyone who has or seeks official action or business with the agency. In special circumstances such as holidays, and unless the frequency of the gifts would appear to be improper, an employee generally may accept gifts of less than \$20. Gifts of entertainment, such as expensive restaurant meals, are also restricted. Finally, gifts must be reported when their total value from one source exceeds \$390 in a calendar year. Most companies in the private sector follow similar rules with maximum limits for both individual gifts and cumulative gifts.

Bribery presents a particular ethical challenge for employees in the international business arenas. Although every company wants to land lucrative contracts around the world, most expect their employees to follow both the law and company policy when attempting to consummate such deals. The U.S. law prohibiting bribery in international business dealings is the **Foreign Corrupt Practices Act (FCPA)**, which makes it illegal for companies and their managers to influence or bribe foreign officials with monetary payments or rewards of any kind in an attempt to get or keep business opportunities outside the United States. Anti-bribery law is a serious issue for companies with overseas business and cross-border sales. Any companies or individuals convicted of these activities may pay significant fines, and individuals can face prison time.

Illegal payments need not be cash; they can include anything of value such as gifts and trips. For example, BHP Billiton, a U.S. energy company, and GlaxoSmithKline, a U.K. pharmaceutical company, were each fined \$25 million for buying foreign officials tickets to the 2008 Olympic Games in Beijing, China. Fines for violations like these can be large and can include civil penalties as well as forfeited profits. For example, Telia, a Swedish telecommunications provider whose shares are traded on Nasdaq, recently agreed to pay nearly a billion dollars (\$965 million) in a settlement to resolve FCPA violations that consisted of using bribery to win

business in Uzbekistan.

Companies and employees engaging in transactions in foreign markets thus face an increased level of regulatory scrutiny and are well served if they put ethics policies in place and enforce them. Companies must train employees at all levels to follow compliance guidelines and rules, rather than engaging in illegal conduct such as “under the table” and “off the books” payments. Even the illusion of corrupt practices can bring serious consequences.



TERMS TO KNOW

Bribe

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Foreign Corrupt Practices Act (FCPA)

A law forbidding bribery in international business dealings. Bribery may be cash but may also be extravagant gifts.

3. Financial Integrity



Navigating through the maze of ethics in finance includes some obvious perils like outright theft and less obvious ones like accepting gifts or using non-public information for personal gain.

Of course, bribery is just one of many ethical dilemmas an employee might face in the workplace. Not all such dilemmas are governed by the clear-cut rules generally laid out for illegal acts such as bribery. Employees may find themselves being asked to do something that is legal but not considered ethical. For example, an employee might receive confidential proprietary knowledge about another firm that would give his or her firm

an unfair competitive advantage. Should the employee act on this information?



THINK ABOUT IT

Assume you are a partner in a successful computer consulting firm bidding for a contract with a large insurance company. Your chief rival is a firm that has usually offered services and prices similar to yours. However, from a new employee who used to work for that firm, you learn that it is unveiling a new competitive price structure and accelerated delivery dates, which will undercut the terms you had been prepared to offer the insurance company. Assume you have verified that the new employee is not in violation of any non-compete or non-disclosure agreement, and therefore, the information was not given to you illegally.

Would you change prices and delivery dates to beat your rival? Or would you inform both your rival and potential customer of what you have learned? Why?

Most companies say they want all employees to obey the law and make ethical decisions. But employees typically should not be expected to make ethical decisions based just on gut instinct; they need guidance, training, and leadership to help them navigate the maze of gray areas that present themselves daily in business. This guidance can be provided by the company through standard setting and the development of ethical codes of conduct and policies. Senior managers modeling ethical behavior and so leading by direct example also provide significant direction.

➞ **EXAMPLE** The limited TV series *Dopesick* documents strong-arm sales techniques used by Purdue Pharma to convince doctors to prescribe the synthetic opiate, OxyContin, as well as the ethical dilemmas faced by the sales staff who wanted to perform well but could witness the repercussions of their actions on rural communities. Meanwhile, the company executives put excessive pressure on sales staff, showing that simply “doing the right thing” isn’t always easy. Because the company set a tone at the top of unethical behavior, it became easy for people down the chain of command to follow the example set by the executives (Strong, 2021).



SUMMARY

In this tutorial, you learned about some of the specific legal and ethical duties related to finances. One serious ethical lapse is **insider trading**, which is using nonpublic information about your company or a company you’re associated with to guide decisions about buying or selling stocks. Another sensitive area is **bribery**; an ethical person will not offer or accept bribes (money or gifts), but sometimes there are cultural pressures to do so, and often the lines between goodwill gifts and bribes are blurry. Most organizations have specific guidelines for the value of gifts that can be given or received. These are just two of many ethical issues that might arise if you deal with money; having **financial integrity** will mean you know what to do in most situations and ask for guidance when you aren’t sure.

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Strong, D. (2021). *Dopesick* [TV]. Hulu.

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